National
Qualifications
2025

2025 Accounting

Higher

Question Paper Finalised Marking Instructions

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General marking principles for Higher Accounting

Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.

(a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.

(b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.

(c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.

(d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.

(e) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate

(f) For **identify** questions, candidates must name a number of relevant items or facts. These must relate to the context of the question and do not need to be in any particular order.

Up to the total mark allocation for this question

- award **1 mark** for each relevant identification

(g) For **outline** questions, candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

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Question 1									Additional guidance						
(a) (i)	**Overhead Analysis Statement** ✓												Max mark	11	
	Overheads	**Basis**	**Total**	**Department X**	**Department Y**	**Department Z**	**Department C**								
	Indirect Labour	Allocated	£132,510	£52,600	£38,790	£35,570	£5,550	1	Award mark for heading and Indirect Labour line						
	Supervision	No. of employees	£22,050	£9,800	£7,840	£1,960	£2,450	2	If Total column omitted do not award (DNA) first available mark						
	Machinery Depreciation	Value of machinery	£51,000	£22,400	£16,800	£8,600	£3,200	2	If one arithmetic error, award 1 mark						
	Rent	Area	£49,700	£25,560	£10,650	£6,390	£7,100	2	If Direct Materials are included, do not award first available mark						
	Power	KW hours	£17,500	£10,000	£5,000	£1,000	£1,500	2							
	Administration	No. of employees	£45,000	£20,000	£16,000	£4,000	£5,000	2							
	Total Departmental Overheads		£317,760	£140,360	£95,080	£57,520	£24,800								
(a) (ii)	Re-apportionment of Department C	Employees	£24,800	£12,400	£9,920	2,480		2	If one arithmetic error, award 1 mark				Max mark	4	
				£152,760	£105,000	£60,000									
	Re-apportionment of Department Z	Direct Material	£60,000	£45,000	£15,000			1							
	Production Department Overheads			£197,760	£120,000			1	Award 1 mark for final total and arithmetic						
(b)	Overhead recovery rates												Max mark	2	
	Department X - Total overheads	£197,760													
	Direct machine hours	82,400 hours =	£2.40	per machine hour	1				If £ or % not shown, max 1 mark						
	Department Y - Total overheads	x 100	£120,000	x 100 =	50%	of direct material cost	1								
	Direct materials		£240,000												
(c)		Dept X		Dept Y									Max mark	4	
	Actual Machine Hours	78,500	Actual Material Costs	£245,000					If overheads absorbed figure not based on overhead absorption rates calculated in (b), do not award marks						
	x Overhead Recovery Rate	£2.40		50%											
	Overhead Charged	£188,400	1	£122,500	1										
	Less Actual Overhead	£195,120		£119,300											
		-£6,720	✓	£3,200	✓				1 mark for each overhead variance calculation **and** identification of over/under absorption						
		under-absorbed	1	over-absorbed	1										

Question 1 (continued)													
						Additional Guidance						**Max Mark**	**12**
(d)	**Job Cost Statement - Quotation DERQ005** ✓												
		£		**£**									
	Direct Material:												
	Dept X - 2,100 kilos @ £15.50 per kilo	32,550	1										
	Material Y - (2,100/3.5) @ £28 per kilo	16,800	2			All or nothing							
	Additional material - (49,350 x 0.04)	1,974	1	51,324									
	Direct Labour					If machine hours included, maximum 1 mark							
	Dept X - 120 hours @ £18 per hour	2,160	1			awarded for correct labour figures							
	Dept Y - 100 labour hours @ £22 per hour	2,200	✓										
	Dept Y - 25 labour hours @ £33 per hour	825	1	5,185		**1 mark** for both Dept Y Calculations							
	Direct Expenses			2,091	✓								
	PRIME COST ✓			**58,600**	1	**1 mark** for Direct Expenses, Prime Cost label and total							
	Overheads												
	Dept X - 100 machine hours @ £2.40 per hour	240	1										
	Dept Y - £16,800 x 50%	8,400	1	8,640									
	Total Cost			67,240									
	Profit Margin (67,240/80) x 20			16,810	2	All or nothing							
	Selling Price/Quote to Customer ✓			**84,050**	1	**1 mark** for correct heading, label and arithmetic							
(e)	New Overheads estimate											**Max Mark**	**3**
	£317,760 x 125% = 397,200		2	**All or nothing**									
	OAR = £397,200/20,000 units = £19.86 per unit		1										

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Question 1 (continued)			Additional Guidance		Max Mark	2
(f) (i)	Overheads are allocated if they are traceable to specific departments.	1				
	Overheads are apportioned if they relate to the business as a whole.	1				
(f) (ii)	Use of formulae aids accuracy		Any 2, **1 mark** each		Max Mark	2
	Use of formulae aids replication					
	Can show the effects of 'what if' scenarios					
	Changes to any data in the spreadsheet are automatically updated with the use of formulae/future proof					
	Use of multiple worksheets to link statements					
	Use of templates from year to year					
	DNA Reduced human error unless linked to use of formulae					

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Question 2							Additional Guidance		Max Mark	6
(a) (i)	**Income Statement of McLeod and Akram for the year ended 31 December Year 4** ✓									
			£000		£000					
	Profit for the Year (adjusted) 151 - (5% x 160 x 9/12)				145	1				
	Add Interest on Drawings						If Interest on Drawings, Interest on			
	McLeod (15% x 40)		6	✓			Equity or Salary not treated correctly,			
	Akram (15% x 60)		9	1	15		do not award marks			
					160					
	Less Interest on Equity									
	McLeod (10% x 200)		20	✓						
	Akram (10% x 300)		30	1	50					
	Less Salary - Akram				55	1				
	RESIDUAL PROFIT				55					
	Share of residual profit									
	McLeod (200/500*55)		22	✓						
	Akram (300/500*55)		33	1	55					
	Heading, arithmetic and no extraneous (1)									

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Question 2 (continued)																		
(a) (ii)	**Current Account - McLeod**		✓							**Current Account - Akram**		✓				**Max Mark**		**6**
	Date	**Details**	**Debit**		**Credit**		**Balance**	✓		**Date**	**Details**	**Debit**		**Credit**		**Balance**	✓	
	01-Jan	Opening Balance					15	Cr	✓	01-Jan	Opening Balance					18	Dr	**1**
	31-Dec	Interest on equity			20	✓	35	Cr		31-Dec	Interest on equity			30	**1**	12	Cr	
	31-Dec	Share of profit			22	✓	57	Cr		31-Dec	Share of Profit			33	**1**	45	Cr	
	31-Dec	Interest on loan			6	✓	63	Cr		31-Dec	Salary			55	**1**	100	Cr	
	31-Dec	Drawings	40	✓			23	Cr		31-Dec	Drawings	60	**1**			40	Cr	
	31-Dec	Interest on drawings	6	✓			17	Cr		31-Dec	Interest on drawings	9	**1**			31	Cr	
	Additional Guidance																	
	1 mark for headings and Opening Balance																	
	If running balance incorrect, do not award mark for headings and Opening Balance or next available mark																	
	If not shown as a ledger account, do not award headings and Opening Balance mark or next available mark																	
	If Current Account shown as complete reversal, award marks gained and divide by 2 (max 3)																	
	If headed as Current Account, but includes an entry for Equity, do not award Interest on Equity mark																	
	If headed as Equity Account and Equity shown as Opening Balance, award marks gained and divide by 2 (max 3)																	
	If Loan is included, do not award Interest on Loan/Salary mark																	

Question 2 (continued)								Additional Guidance					Max Mark	12		
(a) (iii)	**Statement of Financial Position of McLeod and Akram as at 31 December Year 4** ✓															
		At Cost		**Agg Depn**		**NBV**										
	Non-Current Assets ✓	£000		£000		£000										
	Property	450		-50		500	1									
	Equipment	80		26		54	1									
	Vehicles	40		20		20	1									
		570		-4		574										
	Investments					60	1	Investments must be shown below Non-Current Assets and								
						634		only shown in NBV column to gain award								
	Current Assets ✓															
	Closing Inventory			55	✓			**1 mark** for Closing Inventory and Cash and Cash Equivalents								
	Trade Receivables	66	✓					**1 mark** for Trade Receivables less Provision for Doubtful Debts								
	Less Provision for doubtful debts	3	✓	63	1			If Provision for Doubtful Debts is deducted, but not from Trade Receivables, DNA mark								
	Cash and Cash Equivalents			86	1											
				204												
	Current Liabilities ✓															
	Trade Payables	77	✓													
	VAT	3	1	80				**1 mark** for Trade Payables and VAT								
	WORKING EQUITY					124										
	NET ASSETS EMPLOYED					758										
	Non-Current Liabilities ✓															
	Loan - McLeod					160	1									
	NET ASSETS					598										
	EQUITY															
	Equity Accounts -															
	McLeod			200	✓											
	Akram			300	1	500										
	Current Accounts -															
	McLeod			17	✓											
	Akram			31	1	48										
	Reserves															
	Revaluation Reserve					50	1									
						598										
	Headings, labels, arithmetic and no extraneous (1)															

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Question 2 (continued)								Additional Guidance						
(b) (i)	**Profit or Loss on Revaluation**											Max Mark	6	
	Equipment - increase in value	15,000	1					If Property Revaluation is included, DNA first available mark						
	Vehicles - decrease in value	- 22,000	1											
	Inventory - decrease in value	- 8,000	1											
	Revaluation expenses	- 4,000	1											
	Increase in provision for doubtful debts	- 1,000	1											
	LOSS ON REVALUATION	- 20,000												
	Share of loss on revaluation:													
	McLeod (2/5)	- 8,000	✓											
	Akram (3/5)	- 12,000	1											
		- 20,000												
(b) (ii)	Chan	25%	✓									Max Mark	1	
	McLeod (200/500 x 75%)	30%	✓											
	Akram (300/500 x 75%)	45%	1											
(b) (iii)	**Updated Equity Account Balances**											Max Mark	7	
		McLeod		**Akram**		**Chan**								
	Opening Balance	200,000		300,000		250,000								
	Share on loss of revaluation	- 8,000		- 12,000			1							
	Goodwill	20,000		30,000			2							
	Goodwill written off	- 15,000		- 22,500		- 12,500	2							
	Transfer Current Accounts	19,000		- 25,000			1							
	Closing Balance	216,000		270,500		237,500								
	Opening and closing balances, arithmetic and no extraneous (1)													
(c)	More expertise or specialised knowledge											Max Mark	2	
	Workload can be shared													
	May allow expansion of the business													
	Eliminates competition when skills and resources are combined													
	More ideas brought to the business													
	DNA greater equity invested as given in the question													

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Question 3 PART A												Additional Guidance				Max Mark	6
												Heading must include 'Inventory Record Card' **and** the item of inventory (ST200). The business name is not required.					
INVENTORY RECORD CARD FOR MATERIAL ST200 ✓																	
Date	**Details**	**Receipts**			**Issues**			**Balance**			✓	If any column is not included, award marks gained and divide by 2, (max 3)					
		Qty	**Price**	**Value**	**Qty**	**Price**	**Value**	**Qty**	**Price**	**Value**	✓						
01-Apr	Balance							600	£20.00	£12,000	1*	*1 mark for correct headings and opening balance					
03-Apr	Purchases	900	£20.50	£18,450				1500	£20.30	£30,450	1	1 mark per row					
10-Apr	Issues				300	£20.30	£6,090	1200	£20.30	£24,360	1						
15-Apr	Purchases	600	£21.50	£12,900				1800	£20.70	£37,260	1						
20-Apr	Issues				500	£20.70	£10,350	1300	£20.70	£26,910	1						
24-Apr	Returns				300	£20.50	£6,150	1000	£20.76	£20,760	1						

Question 3 PART B								Additional Guidance	Max Mark	12
(a)	**Service Cost Statement** ✓									
	Drivers Wages:									
	Basic (48 * 35 * 50% * £18 * 3)		45,360	2				Award **1 mark** if any single part of the calculation is missing/incorrect		
	Wages - holidays (4 * 35 * 50% * £18 * 3)		3,780	1						
	Wages - overtime (5 * 48 * 50% * (£18*1.5) * 3)		9,720	2	58,860			Award **1 mark** if any single part of the calculation is missing/incorrect		
								If purchase of vans included, award 1 mark max for correct depreciation		
	Depreciation of service vans ((18000-3000)/3 years)*3				15,000	2		Award **1 mark** if any single part of the calculation is missing/incorrect		
	Fuel (100 * 3 * 48)/8 * £1.45				2,610	2		Award **1 mark** if any single part of the calculation is missing/incorrect		
	Vehicle Tax (£300 * 3)				900	✓				
	Maintenance and Repairs (£2,000 * 3)				6,000	1		**1 mark** for Vehicle Tax and Maintenance and Repairs		
	Insurance				1,200	✓				
	Office and Admin				1,830	1		**1 mark** for Insurance and Office and Admin		
	Annual Operating Cost ✓				86,400	1		**1 mark** for heading, label and arithmetic		
(b)	Number of services				800				Max Mark	1
	Cost per service (£86,400/800 services)				£108	1				
(c)	Add Profit (mark-up 25%)				£27				Max Mark	1
	Selling price				£135	1				

Question 4						Additional Guidance							
		Rylands plc		**Carrick plc**									
(a) (i)	**Equity Gearing Ratio**											Max Mark	2
	(Preference Shares + Debentures)	(400,000+200,000)/250,000		(150,000+100,000)/500,000									
	Ordinary Shares	2.4:1	1	0.5:1	1	Ratio must be shown :1							
(a) (ii)	Rylands plc (1) has the highest gearing ratio. (1) Increased profits will be shared amongst a smaller number of ordinary shareholders. Therefore, the dividend per ordinary share will be higher. (1)											Max Mark	2
(b) (i)	**Rylands plc**	£										Max Mark	2
	Profit for the Year	240,000		If Debenture Finance Cost and Corporation Tax dealt with in the incorrect order, award 1 mark for Debenture									
	Less Debenture Finance Cost	20,000	1	Finance Cost if shown as £20,000 and treated correctly									
	Profit before Corporation Tax	220,000		If Debenture Finance Cost is omitted, award Corporation Tax 1 mark consequentially if treated correctly									
	Less Corporation Tax (25%)	55,000	✓										
	Profit after Corporation Tax	165,000	1										
(b) (ii)	Less Preference Dividend	20,000	1									Max Mark	2
	Profit available to Ordinary Shareholders	145,000	1										
(b) (iii)	Profit available to Ordinary Shareholders	145,000										Max Mark	2
	Dividend Paid (250,000 x £0.07)	17,500	1										
	Retained Profits	127,500	1										
(b) (iv)	Earnings per Share	145,000										Max Mark	1
		250,000											
		£0.58	1	If £, times or % is missing DNA mark on first occasion									
(b) (v)	Price/Earnings Ratio	£1.74										Max Mark	1
		£0.58											
		3 **times**	1										
(b) (vi)	Dividend Cover	(£145,000/£17,500)										Max Mark	1
		8.29 **times**	1										
(c)	Dividend Yield	(£0.16/£1.66)x100										Max Mark	1
		9.64%	1										

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Question 4 (continued)						Additional Guidance							
												Max Mark	3
(d) (i)	The advantages of ratio analysis are:												
	It allows the shareholder to compare the performance of one business with another and establish which is best for investment.												
	Can compare performance over a number of years.												
	Can highlight areas of the business which require improvement.												
	Can compare with competitors.												
	Can compare budgeted with actual performance.												
				1 for each source of finance								Max Mark	3
(d) (ii)	Ordinary Shares:	are part of the issued share equity of a company				Only accept once for either Ordinary Shares **or** Preference Shares							
		carry voting rights at the AGM											
		levels of dividend can vary based on profits made											
	Preference Shares:	are part of the issued share equity of a company											
		generally do not carry voting rights											
		receive a fixed rate of dividend											
		have priority for dividend over Ordinary Shares											
	Debentures:	are long term loans (Non-Current Liabilities)											
		holders carry no voting rights											
		holders receive a fixed rate of interest each year											

[END OF MARKING INSTRUCTIONS]

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